The above two rules are sufficient to control most of the damage in day trading. But unfortunately, day trading doesn't go as per the plan all the time. As per the above two rules, a trader is not supposed to lose more than 6% on any trading day (2% per trade and maximum 3 trades). But a trader can lose more than 6% in some situations due to slippage, system failures, human error, etc.

Whenever you face such a situation, and if your overall loss in a day exceeds 10% of your trading capital, it is better to close all the trades and shut down your system.

One might think one can manage these kinds of situations, but in reality, our mind doesn't have complete clarity, and there is always a possibility of taking revenge trades or making more mistakes.

So, next time if you face a 10% loss on any trading day (I wish you should never face this situation), close all the trades, shut down the system, and take a break of a few days from trading.

Some brokers have also developed the "**Kill Switch**" option, which disables trading for the next 12 hours whenever you reach some set % of loss in the trading capital.

Position Sizing and Scaling Up the Capital

Position Sizing is nothing but what quantity of stock you buy (or sell) in one trade. It plays a crucial role in the success of intraday trading.

Let us take an example to understand it better.

There are two traders; John and Tom use the same system with a win rate of 50%, which means out of 100 trades, 50 trades will make profits, and the remaining 50 trades make losses and the risk-reward ratio is 1:2.

Both start with the same capital Rs 100,000

Even if 50 trades are successful and the remaining 50 are failed trades, many failed trades can come successively.

Let us say a person bets in a coin toss game (heads or tails). He sticks with calling 'heads' every time, but still, there is a possibility of 'tails' coming up successively a few times, right? This is called the '**Expected Losing Streak.'**